ing to favourable outcomes makes us believe that we can do everything, especially making financial decisions on our own. But, do we always manage to pick the winning stock or fund?

Stock and fund selection requires knowledge, skills, experience and expertise built over the years. Moreover, the investment journey doesn't end with the selection; one needs to know when to buy more of the same or sell only to repurchase later. Investments play a role in your overall finances—how it meets your risk profile, where it fits in your financial life and plan, tax efficiency and more. It is impossible for most of us to know it all, which is where experts come in handy.

INVESTING IS ABOUT PROBABILITIES, AND THE FUTURE COURSE OF STOCK MARKETS IS NEVER SET IN STONE. THE PERFORMANCE OF A STOCK AND FUND RESTS ON SEVERAL FACTORS THAT ARE BEYOND ONE'S CONTROL

Every day, we are flooded with new data, and there is only so much that our brains can comprehend. Investing is about probabilities, and the future course of stock markets is never set in stone. The performance of a stock and fund rests on several factors that are beyond an individual's control. Trading frequently may give a sense of control, but it comes at a cost of higher fees, and taxation on gains and may actually prove less effective in the long run. Staying invested for the long term through investments in a diversified equity mutual fund may turn out to be a better decision.

Solution: Don't think you will save money by not seeking financial advice or engaging an expert. Ask yourself: should you be stock-picking while managing everything else in your life or should you engage an expert who has the knack of picking the right stocks often?

CORRECT IN HINDSIGHT

The popular idiom of seeing is believing is true with investing. But that is not necessarily a true representation of reality. On a cloudy overcast day, you may be right about predicting rain. Similarly, when your favourite IPL team reaches the finals, you know the possible outcomes—a tie, a win or a loss. Now, based on the actual outcome, you will be elated about having made the right prediction.

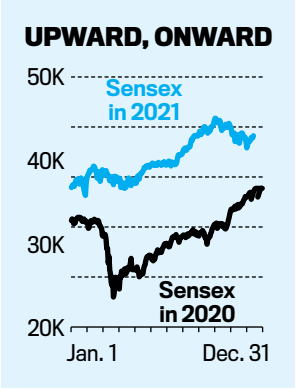
When it comes to investing, hindsight can play a big role in fooling oneself. You buy a stock and the price falls, say in the case of your investment in the Paytm IPO; you are likely to justify the fall on the fact that you knew it would fall. On the contrary, if you make handsome profits on a stock pick, you will feel proud that you made such an awesome decision. There is nothing wrong with your senses; it is the way you receive the outcome that introduces the bias of being right in hindsight by processing certain information and events.

In case of the S&P BSE Sensex movement in 2020 and 2021; at the end of both years, the index posted gains—15 per cent and 21 per cent respectively. An investor with hindsight bias would rattle on how he knew that the markets factor in bad news on the back of Covid-19 and it was bound to gain. The same investor would also be able to justify that in 2020, it was correct for the markets to drop 37 per cent in the first three months just before the lockdowns came into play.

Solution: Identify the reasons for an event and its outcome than blindly accepting it. Not only will you learn something new, you will be able to factor the variation in your investment for the right reasons and take action based on the fact.

TOO MUCH CHOICE

Having several thousand listed companies, MFs and other financial products to choose from can leave one stressed. Psychologists Barry Schwartz and Mark Lepper and author Sheena Iyengar have all said it—too much choice is a bad thing and causes decision paralysis. This argument may be contrary to popular belief that more choice leads to more freedom. When it comes to a lot of choice with investments, chances of making any decision is unlikely as procrastination sets in because of the choices.



Unlike tangible goods, investments are intangible, which makes too many investment choices often useless for the investor community. It is true that so many investment options make it difficult for investors to decide and make an investment choice. Investing is with a purpose and for an outcome such as a financial goal. Just because there are over 40 MF companies offering hundreds of schemes doesn't mean one has to invest in all of them. It is the same with investing in stocks—there are just too many companies listed for every investor to look into.

Solution : As an investor, evaluate your financial needs and choose your financial products based on your risk profile and need. Don't invest just because there are new IPOs coming up or too many new fund offers in the anvil. Companies go in for listing because of numerous reasons; you need to be aware of the details rather than blindly invest in them because of a trend that has worked for others. ■